🏛

•

JanGyan — Learn Without Limits

MODULE 9: Government Financial Schemes & Financial Inclusion

Category: Financial Literacy & Digital Finance

> *"The best government scheme is only as useful as the citizen's awareness of it."*

Module Overview

This handbook is your complete, beginner-to-advanced guide to **Government Financial Schemes & Financial Inclusion** — from PMJDY and PPF to the Digital Rupee and Direct Benefit Transfer. Whether you're opening your first Jan Dhan account or planning long-term savings through PPF or Sukanya Samriddhi Yojana, this handbook is written so that you can read it once and know exactly which government schemes are available to you and how to use them.

By the end of this module, you will not need to search anywhere else to understand India's major government financial schemes.

Learning Objectives

After completing this module, you will be able to:

- Explain PMJDY, Atal Pension Yojana, and Sukanya Samriddhi Yojana
- Understand PPF and EPF as long-term, government-backed savings tools
- Explain how Direct Benefit Transfer (DBT) delivers welfare payments
- Understand the basics of the Digital Rupee (CBDC)
- Explain the roles of NPCI and RBI in India's financial system
- Identify which financial inclusion initiatives are relevant to you and your family

Why This Topic Matters

India runs some of the world's largest government-backed financial inclusion programmes — free or low-cost bank accounts, guaranteed-return savings schemes, and digital welfare delivery reaching hundreds of crores of citizens. Yet many people remain unaware of schemes they are already eligible for.

> **Reality Check:** As of March 2026, India had approximately **57.71 crore Jan Dhan accounts**, and cumulative Direct Benefit Transfers have exceeded **₹49.09 lakh crore** across 450+ central schemes, generating savings of over **₹3.48 lakh crore** by eliminating fake and duplicate beneficiaries. These are not small, experimental programmes — they are among the largest financial inclusion efforts in the world, and knowing how to access them is a genuine financial skill.

Government financial schemes are often the safest, most accessible entry point into saving and investing, especially for first-time savers, women, and rural households. This module maps out what's available and how to use it.

This is why JanGyan continues its Financial Literacy journey with this module on Government Financial Schemes & Financial Inclusion.

Introduction

Financial Inclusion means ensuring every citizen, regardless of income or location, has access to useful and affordable financial products and services — bank accounts, savings, credit, insurance, and pensions.

In simple words: financial inclusion is about making sure no citizen is left outside the formal financial system simply because they are poor, rural, or unbanked.

RBI measures financial inclusion progress across three dimensions:

Dimension	What It Measures
Access	How easily people can reach financial services (bank branches, accounts, ATMs)
Usage	How actively people actually use these services
Quality	How well these services meet people's real financial needs

Fundamental Concepts

Key Definitions

- **JAM Trinity** — The combination of Jan Dhan accounts, Aadhaar, and Mobile numbers that powers India's welfare delivery system.
- **Direct Benefit Transfer (DBT)** — Government payments transferred directly into a beneficiary's bank account, reducing leakages.
- **Sovereign Guarantee** — A government-backed promise that makes a savings scheme extremely low-risk.
- **CBDC** — Central Bank Digital Currency; a digital form of official currency issued directly by the RBI.

Complete Detailed Explanation

Part A — The JAM Trinity Foundation

India's financial inclusion drive rests on the JAM Trinity: **J**an Dhan bank accounts provide the account, **A**adhaar provides a unique verified identity, and **M**obile numbers provide the connectivity — together enabling direct, leak-proof delivery of government benefits to citizens.

Part B — Core Government Schemes (Detailed)

This is the heart of the module. Each scheme is explained with what it offers and who it's designed for.

1. Pradhan Mantri Jan Dhan Yojana (PMJDY)

PMJDY provides zero-balance bank accounts to previously unbanked citizens, along with a RuPay debit card, accident insurance cover, and access to overdraft facilities. It is the foundational "J" in the JAM Trinity, and remains one of the largest financial inclusion programmes in the world.

2. Atal Pension Yojana (APY)

APY is a government-backed pension scheme mainly for workers in the unorganised sector, offering a guaranteed minimum monthly pension (ranging based on contribution level) starting at age 60. Contributions are made regularly during working years, similar in spirit to NPS but with a guaranteed minimum payout.

3. Sukanya Samriddhi Yojana (SSY)

SSY is a savings scheme for the girl child, opened by a parent or guardian before she turns 10, offering one of the highest interest rates among government schemes and full tax exemption on interest and maturity proceeds. As of the July-September 2026 quarter, SSY offers **8.2% per annum**.

4. Public Provident Fund (PPF)

PPF is a long-term (15-year), government-backed savings scheme open to all citizens, offering tax-free interest under the EEE (Exempt-Exempt-Exempt) structure — meaning the deposit, interest, and maturity amount are all tax-free. As of the July-September 2026 quarter, PPF offers **7.1% per annum**.

Scheme	Rate (Jul-Sep 2026)	Best Suited For
Sukanya Samriddhi Yojana	8.2%	Long-term savings for a girl child
Public Provident Fund	7.1%	General long-term, tax-free savings
National Savings Certificate	7.7%	Medium-term, fixed-return savings

5. Employees' Provident Fund (EPF)

EPF is a mandatory retirement savings scheme for salaried employees, with both employer and employee contributing a fixed percentage of salary each month, managed by the EPFO. For FY 2025-26, EPF offers an interest rate of **8.25% per annum**, benefiting over 7 crore contributing members.

6. Direct Benefit Transfer (DBT)

DBT transfers government subsidies and welfare payments directly into beneficiaries' bank accounts, using the JAM Trinity to eliminate middlemen and reduce leakages. As of early 2026, cumulative DBT transfers exceeded **₹49.09 lakh crore** across 450+ central schemes, with savings of over **₹3.48 lakh crore** from removing fake and duplicate beneficiaries.

> **Example:** Subsidies for cooking gas, farmer income support (PM-KISAN), and scholarship payments are now largely delivered directly into bank accounts via DBT, rather than through physical distribution networks.

7. Digital Rupee (CBDC Overview)

The Digital Rupee (e₹), launched by RBI in pilot phases from late 2022, is a digital form of official currency, distinct from UPI in that it represents actual central bank money rather than moving funds between bank accounts. It is now interoperable with UPI QR codes, and as of early 2026 had approximately **7 million retail users** — still a small fraction of UPI's user base, as adoption continues gradually.

8. NPCI Overview

The National Payments Corporation of India (NPCI) builds and operates India's core retail payment infrastructure — UPI, IMPS, RuPay, and more — under RBI's oversight, forming the technical backbone behind most digital transactions covered in Module 3.

Important Terminologies

Term	Simple Meaning
EEE Status	Exempt-Exempt-Exempt; a scheme where deposit, interest, and maturity are all tax-free
Overdraft (PMJDY)	A small credit facility linked to a Jan Dhan account after regular use
Subsidy Leakage	Loss of welfare funds to fraud, duplication, or inefficiency before reaching genuine beneficiaries
Financial Inclusion Index (FI-Index)	RBI's composite score measuring access, usage, and quality of financial services

9. RBI Overview

The Reserve Bank of India is the nation's central bank, responsible for regulating banks, setting the repo rate, protecting depositors, and steering the country's overall financial inclusion strategy — including the annual FI-Index and Centres for Financial Literacy discussed in earlier modules.

10. Financial Inclusion Initiatives

Beyond individual schemes, India runs a broader ecosystem of financial inclusion efforts — Bank Mitras (business correspondents) for last-mile banking access, the National Strategy for Financial Education, and continuous digital infrastructure upgrades that bring formal finance closer to every citizen.

Step-by-Step Understanding

How to Access Government Financial Schemes

1. Check eligibility for schemes relevant to your situation (PMJDY, APY, SSY, etc.)
2. Ensure your bank account, Aadhaar, and mobile number are linked (the JAM Trinity)
3. Visit your bank branch or use official apps/portals to apply
4. Keep KYC documents updated to avoid delays in benefit transfers
5. Track DBT payments and scheme status through official government portals
6. Renew or continue contributions (for PPF, SSY, APY) consistently over time

Real-Life Patterns

- **The Unused-Scheme Pattern:** Many eligible citizens never open a PPF, SSY, or APY account simply because they are unaware such schemes exist or how to start.
- **The Dormant Jan Dhan Account:** A PMJDY account opened but never used regularly can miss out on overdraft eligibility and other linked benefits.
- **The Late SSY Start:** Opening a Sukanya Samriddhi account closer to a daughter's 10th birthday rather than at birth loses several years of compounding.
- **The DBT Mismatch Delay:** Outdated bank or Aadhaar details can delay or block a DBT payment reaching the intended beneficiary.

Practical Scenarios

Scenario 1: You have a newborn daughter and want to start long-term savings for her.
Opening a Sukanya Samriddhi Yojana account now, rather than later, maximises the benefit of its 21-year tenure and compounding.

Scenario 2: A family member doesn't have a bank account and receives government benefits in cash.
Opening a PMJDY zero-balance account allows benefits to be received directly and securely via DBT.

Scenario 3: You work in the unorganised sector and have no employer-based retirement plan.
Atal Pension Yojana offers a guaranteed minimum pension, well suited to workers without EPF coverage.

Scenario 4: Your DBT-linked subsidy hasn't arrived as expected.
Check that your bank account is correctly linked to your Aadhaar and that KYC details are current and accurate.

Quick Scheme Comparison

Scheme	Who It's For	Core Benefit
PMJDY	Unbanked citizens	Zero-balance account, RuPay card, accident cover
Atal Pension Yojana	Unorganised sector workers	Guaranteed minimum pension from age 60
Sukanya Samriddhi Yojana	Parents of a girl child under 10	High, tax-free long-term returns
Public Provident Fund	Any citizen	Tax-free, long-term, government-backed savings
Employees' Provident Fund	Salaried employees	Mandatory retirement savings with employer contribution

Governing Bodies

- **RBI:** Central bank; oversees NPCI, banking regulation, and financial inclusion strategy
- **NPCI:** Operates UPI, IMPS, RuPay, and core retail payment infrastructure
- **EPFO:** Administers the Employees' Provident Fund and related pension schemes
- **PFRDA:** Regulates NPS and Atal Pension Yojana
- **Department of Financial Services (Ministry of Finance):** Oversees PMJDY and DBT policy

Important Statistics

Metric	Figure
Total PMJDY (Jan Dhan) accounts, March 2026	Approximately 57.71 crore
Cumulative DBT transfers, January 2026	Over ₹49.09 lakh crore
Cumulative DBT savings from leakage reduction, March 2026	Over ₹3.48 lakh crore
PPF interest rate, Jul-Sep 2026	7.1% per annum
Sukanya Samriddhi Yojana interest rate, Jul-Sep 2026	8.2% per annum
EPF interest rate, FY 2025-26	8.25% per annum
Digital Rupee (e₹) retail users, early 2026	Approximately 7 million

(Figures are approximate, sourced from Ministry of Finance, EPFO, and RBI releases as reported through mid-2026; official portals should be checked for the latest updates.)

Best Practices

- Keep your bank account, Aadhaar, and mobile number linked and updated
- Open a Sukanya Samriddhi account as early as possible for a girl child
- Contribute to PPF or EPF consistently to maximise long-term, tax-free growth
- Check your DBT-linked bank account details if a payment is delayed
- Explore Atal Pension Yojana if you don't have employer-based retirement coverage
- Use official government portals and apps only for scheme applications
- Review your family's eligibility for relevant schemes periodically

Common Mistakes

- Not opening a PMJDY account despite being eligible and unbanked
- Delaying a Sukanya Samriddhi account beyond a daughter's early years
- Letting PPF contributions lapse, missing years of tax-free compounding
- Not updating bank or Aadhaar details, causing DBT payment delays
- Confusing government schemes with private investment products
- Assuming all government schemes require complex paperwork, when many are simple

Myths vs Facts

Myth	Fact
"Jan Dhan accounts are only for very poor citizens"	PMJDY is open to any unbanked citizen and offers useful benefits like accident cover and overdraft eligibility
"PPF and SSY interest rates change unpredictably"	Rates are reviewed and announced quarterly by the government and have remained stable for several consecutive quarters
"The Digital Rupee is the same as UPI"	UPI moves money between bank accounts; the Digital Rupee is itself a digital form of central bank currency
"DBT only covers a few schemes"	DBT now spans over 450 central government schemes across subsidies, pensions, and welfare payments
"Once opened, a PPF account cannot be accessed for 15 years"	Partial withdrawals and loans against the balance are allowed under specific conditions before maturity

Do's and Don'ts

Do	Don't
Open a PMJDY account if you or a family member is unbanked	Don't delay opening long-term schemes like PPF or SSY
Keep KYC, Aadhaar, and bank details updated	Don't ignore DBT payment delays without checking your linked details
Apply for schemes only through official portals or bank branches	Don't share personal documents with unverified agents claiming to help with schemes
Contribute consistently to long-term schemes	Don't let contributions to PPF, SSY, or APY lapse
Explore APY if you lack employer-based retirement coverage	Don't assume you're ineligible without checking official criteria

Financial Inclusion Tips

For Individuals

- Check your eligibility for PMJDY, APY, PPF, and other schemes relevant to your income and life stage
- Keep documentation ready and updated for smooth scheme access

For Families

- Open an SSY account early for every daughter in the family
- Ensure every family member has access to a bank account under PMJDY if needed

For Rural & Unbanked Citizens

- Use Bank Mitras (business correspondents) for last-mile banking access
- Ask your local branch about zero-balance account options under PMJDY

For Salaried Employees

- Track your EPF contributions and interest credits regularly
- Consider voluntary provident fund contributions for additional tax-free savings

Practical Checklist

- [ ] Confirmed every family member has access to a bank account
- [ ] Checked eligibility for PMJDY, APY, SSY, PPF, and other relevant schemes
- [ ] Linked bank account, Aadhaar, and mobile number correctly
- [ ] Opened a Sukanya Samriddhi account for any daughter under 10, if applicable
- [ ] Reviewed PPF or EPF contribution consistency
- [ ] Verified DBT-linked details are current and accurate
- [ ] Used only official portals or bank branches for scheme applications

Quick Revision Notes

- JAM Trinity = Jan Dhan + Aadhaar + Mobile, the foundation of India's financial inclusion system
- PMJDY, APY, SSY, PPF, and EPF each serve different life needs and eligibility groups
- DBT delivers welfare payments directly, reducing leakages and middlemen
- The Digital Rupee (e₹) is central bank digital currency, distinct from UPI
- NPCI operates payment infrastructure; RBI regulates the overall financial system
- India's Jan Dhan accounts (57.71 crore) form one of the largest financial inclusion programmes globally

Key Takeaways

1. Government financial schemes are often the safest and most accessible entry point into saving
2. Awareness, not eligibility, is often the biggest barrier to using these schemes
3. Keeping the JAM Trinity linked and updated ensures smooth access to benefits
4. Starting long-term schemes like PPF and SSY early maximises their compounding benefit
5. India's financial inclusion infrastructure continues to expand rapidly, and staying informed helps you benefit from it

Glossary

APY — Atal Pension Yojana; a guaranteed minimum pension scheme
CBDC — Central Bank Digital Currency; a digital form of official currency issued by RBI
DBT — Direct Benefit Transfer; government payments sent directly to bank accounts
EPF — Employees' Provident Fund; a mandatory retirement savings scheme for salaried employees
JAM Trinity — Jan Dhan, Aadhaar, and Mobile; the foundation of India's financial inclusion system
PMJDY — Pradhan Mantri Jan Dhan Yojana; India's zero-balance bank account scheme
PPF — Public Provident Fund; a long-term, tax-free government savings scheme
SSY — Sukanya Samriddhi Yojana; a savings scheme for the girl child

Frequently Asked Questions

1. Who can open a PMJDY account?
Any unbanked Indian citizen can open a zero-balance PMJDY account at a participating bank branch.

2. When should I open a Sukanya Samriddhi account?
As early as possible — the account must be opened before the girl child turns 10 to maximise the scheme's benefit.

3. Is PPF interest really tax-free?
Yes — PPF has EEE status, meaning the deposit, interest earned, and maturity amount are all exempt from tax.

4. What is Direct Benefit Transfer?
A system that transfers government subsidies and welfare payments directly into a beneficiary's bank account.

5. Is the Digital Rupee the same as UPI?
No — UPI moves existing money between bank accounts, while the Digital Rupee is itself a digital form of currency issued by RBI.

Official References

- Department of Financial Services, Ministry of Finance — PMJDY and scheme policy
- Reserve Bank of India (RBI) — financial inclusion strategy and Digital Rupee
- National Payments Corporation of India (NPCI) — payment infrastructure
- PMJDY: **https://www.pmjdy.gov.in**
- DBT Bharat: **https://dbtbharat.gov.in**
- National Savings Institute (PPF, SSY): **https://www.nsiindia.gov.in**

Conclusion

India's government financial schemes and financial inclusion infrastructure represent one of the most ambitious efforts in the world to bring every citizen into the formal financial system. From a zero-balance Jan Dhan account to tax-free PPF savings, these tools are often the safest and most accessible starting point for building financial security.

This is only the next step in your Financial Literacy journey with JanGyan. Stay informed, stay engaged, and remember: **the scheme that helps you most is the one you actually know about and use.**

JanGyan — Learn Without Limits
Module 9 of the Financial Literacy & Digital Finance Category